

under control and keep voters happy. Retail oil prices have not been changed for a year and oil marketing companies that have been making a profit in the recent past, may be able to absorb the impact of the unchanged prices.

But higher allocations to welfare schemes such as the Mahatma Gandhi National Rural Employment Guarantee Scheme could dent the fiscal math to some extent. According to Nomura, the higher-than-budgeted rise in operational (revenue) expenditure, including rising rural employment guarantee spending, and the propensity to announce further populist measures in the run-up to the elections could impact the FY24 fiscal deficit target of 5.9 per cent of GDP.

Another round of increases in the LPG cylinder subsidy may also be in the offing

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under the Pradhan Mantri Ujjwala Yojana after hikes in September and October.

Andrew Wood, Director, sovereign ratings at S&P Global Ratings, in a recent webinar said that more expenditure initiatives are possible through this election cycle. "In the very near term, these could be supportive of consumption, as we tend to see around these periods of time. But it's unlikely that they're going to have a major impact on medium-term finances," he, however, said.

What is a source of comfort is that, by and large, the government has managed to stick to its fiscal consolidation plan. But how these developments pan out over the next few months will be critical. **BT**

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WEWORK

Western Clouds

While WeWork has filed for bankruptcy in the US, its Indian arm is busy with expansion plans

BY ARNAB DUTTA

► **CO-WORKING SPACE** giant WeWork's decision to file for bankruptcy in the US marked a massive fall for a firm that had jumped to dizzying heights not so long ago. The Soft-Bank Group-backed start-up was valued at \$47 billion in early 2019 and yet announced in October that it was unable to pay back debt.

The contrast between the boom-and-bust story of the global entity and its Indian arm couldn't be starker. WeWork India—a 73:27 joint venture in which Bengaluru-based real estate major Embassy Group holds a 73 per cent stake—recorded a 75 per cent year-on-year jump in revenue in FY23, according to its CEO Karan Virwani.

The Indian arm has highlighted that it is an independent venture. But its independence and good financial performance may not shield it from the uncertainty that shrouds WeWork. According to Ambi Parameswaran, Founder of brand consulting firm Brand-Building.com, three outcomes are possible. First, the brand gets a new owner and dies a slow death. Second, it gets an energetic new owner who breathes life into it. And third, it is divided and sold, in which case the brand ceases to exist. "In the past, all of these have happened in cases of bankruptcy in the US," he says. If the global brand gets diminished during the bankruptcy process, then the Indian entity may prefer to dissociate with WeWork, Parameswaran says. "When the mother brand gets hit due to incidences like bankruptcy, there are serious rub-offs for it across geographies," says Harish Bijoor, Founder of consultancy firm Harish Bijoor Consults. He says a brand mired in controversy becomes a target for ridicule on social media, which further impacts its value.

WeWork Global had been under stress since the outbreak of the Covid-19 pandemic. First, it suffered from the closure of office spaces at the peak of the pandemic, and then from skyrocketing property prices.